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Subject Code: DMF-05

Paper ID : 24333

GNIOT Institute of Management Studies – PGDM (Batch 2020-22)

(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2021

PERSONAL FINANCE AND WEALTH MANAGEMENT

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a) What is Personal Financial Planning?
- (b) Write the difference between redeemable and irredeemable preference share?
- (c) Distinguish between open ended and close ended funds?
- (d) Write a short note on treasury bill?
- (e) Explain the role of retirement plan in personal tax planning?
- (f) What do you understand by Systematic investment plans(SIP)?
- (g) If you borrow Rs. 80,000 with a 5% interest rate, to be repaid in five equal yearly payments, what would be the amount of each payment?
- (h) What do you understand by public provident fund?
- (i) What do you mean by NAV? Explain the calculation with the help of example?
- (j) Why personal financial planning is necessary for everyone?

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) Explain the various types of risk in the Personal Financial Planning?

OR

- (b) Now a days people want to invest their savings but they are afraid to invest their savings due to lack of knowledge, according to you what are the various initiatives taken for financial literacy?

Q.3. (a) Explain strategies for achieving personal financial goals for different life situations?

OR

- (b) Explain various type of insurance policy available in India? If you want to insured yourself, which insurance policy you will choose?

Q.4. (a) Compare Equity, Mutual Fund & Insurance as Investment Avenues?

OR

- (b) Explain the growing demand of housing industry in India. How can an investor take it as an investment opportunity?

Q.5. (a) “No Investment is risk free”. In view of this statement, write a note on the meaning and types of investment risk?

OR

(b) Explain the Role of Tax Planning in Personal Financial Planning?

SECTION-C

(Case study)

Q.6. Attempt all parts of the following:

(2×15=30)

When Nina opened the letter from her aunt, she discovered a wonderful surprise. “My aunt has given me a gift of Rs. 90,000!” “Why would she do that?” mused Kevin. “I guess her investments have increased in value by much more than she needs. She wants to share it with family members.” Nina shrugged, still in a little bit of shock. “I wonder what I should do with the money?” “Oh, I have some suggestions for you . . .” Kevin said. Recovering herself, Nina teased, “Wait a minute! When did this become our money?” Kevin threw his hands in the air. “Hey, I just thought I’d offer some ideas.” After some discussion, Nina considered the following uses for the money: Credit card debt —use a portion of the money to pay off credit card bills from her last vacation. Savings —set aside money for a down payment on a house. Long-term investments —invest the money in a tax-deferred retirement account. Career training —use the money for technology certification courses to enhance her earning power. Community donations —contribute funds to a homeless shelter and a world hunger-relief organization. “Wow, I could easily use Rs. 8,00,000 instead of Rs. 90,000!” Nina laughed. “So what should I do?” “Some financial advisors recommend not doing anything for at least 6 months,” warned Kevin. “You might be tempted to buy on impulse instead of spending the money on things with lasting value.” “Well now I’m really not sure what to do!”

Case Questions

6. (a) Which additional information might be necessary to know about Nina before determining which areas of financial planning should be her top priority?
6. (b) What actions do you recommend that Nina take before making a final decision about the use of these funds?